Malta’s environmental taxes: below the EU average?

Testing the Commission’s 2026 Country Report against Eurostat’s environmental tax accounts

THE CLAIM UNDER REVIEW

“Total environmental tax revenue is lower than the EU average (1.4% of GDP in 2024 against 2.1%).”

European Commission, 2026 Country Report – Malta, 3 June 2026.
Annex 10, circular economy: ‘Malta has scope to develop its fiscal tools’.

VERDICT: LARGELY SUPPORTED

Figures exact; one number is from the previous year

Version 1.0 · 26 October 2026
Status: no right of reply needed
Prepared from public sources and Eurostat data.
Repository: github.com/leandergrech/Mizien

TL;DR

In its 2026 Country Report for Malta, published on 3 June 2026, the European Commission wrote: **"Total environmental tax revenue is lower than the EU average (1.4% of GDP in 2024 against the EU average of 2.1%)."** It added that in 2023 revenues came "primarily" from energy and transport taxes ("around 49% and 41%, respectively"), and that taxes on pollution and resources stood at 0.18% of GDP against an EU average of 0.08%. We recomputed every figure from Eurostat's environmental tax accounts, the dataset the Commission's numbers are drawn from.

1. **The headline comparison is exact.** Eurostat gives 1.35% of GDP for Malta in 2024 (EUR 312.5 million on a GDP of EUR 23,079 million) and 2.08% for the EU-27: 1.4% and 2.1% when rounded. The gap is 0.73 percentage points; Malta collects about 65% of the EU rate.
2. **Malta is near the bottom of the EU.** Malta ranks 25th of 27 in 2024; only Ireland (0.98%) and Luxembourg (1.18%) are lower. The simple average of the 27 states (2.19%) and the median state (2.06%) are also well above Malta.
3. **The 2023 split is right; one figure is from another year.** Energy taxes were 48.5% and transport taxes 41.6% of the 2023 total, matching "around 49% and 41%". The 0.18% for pollution and resources is Eurostat's figure for 2022; for 2023 Eurostat gives 0.15% (0.14% in 2024). The EU average of 0.08% is correct for each year.
4. **The trend is downwards.** Malta's rate fell from 2.61% of GDP in 2015 to 1.35% in 2024; the EU's moved from 2.68% to 2.08%.
5. **Verdict: largely supported (high confidence).** The statement is accurate. The caveats are one figure from a different year and what the measure shows: revenue as a share of GDP is not a measure of how strict environmental policy is.



1.35%
Malta's environmental tax revenue, % of GDP, 2024 (Commission: 1.4%)

2.08%
EU-27, 2024 (Commission: 2.1%)

25th
Malta's rank of 27 Member States, 2024; only Ireland and Luxembourg are lower

0.15%
Pollution and resource taxes, 2023 (Commission: 0.18%, Eurostat's 2022 value)

WHAT WOULD MOVE THE VERDICT UP
A 'Supported' verdict would need the Commission's pollution-and-resources figure to match the year it is attached to, for example if Eurostat's 2023 value were revised to 0.18% or the Commission stated that it used another vintage of the data.

WHAT WOULD MOVE IT DOWN
Eurostat revising Malta's 2024 revenue or GDP so that the rate rose to or above the EU's, which would need a change of about EUR 170 million in the revenue series.

IN THIS REPORT

1 The claim and what we could verify
2 Method
3 The headline comparison
4 Composition: energy, transport, pollution and resources
5 What the measure does and does not show
6 Testing the claim
7 Verdict and requests for evidence
8 Limitations

1 The claim and what we could verify

The claim is in the Commission's 2026 Country Report for Malta (staff working document SWD(2026) 218 final), Annex 10, in the section on the circular economy [1]. We read the document in full from the Council's register copy on 25 October 2026. The passage reads:

> "Malta has scope to develop its fiscal tools to encourage circular practices, raise revenue and reduce waste. Total environmental tax revenue is lower than the EU average (1.4% of GDP in 2024 against the EU average of 2.1%) (see Annex 3). In 2023, revenues were primarily derived from energy and transport taxes (around 49% and 41%, respectively), with taxes on pollution and resources at 0.18 % (EU average: 0.08 %)"

Annex 3 of the same report (taxation) repeats the headline in a table: environmental taxes were 2.4% of GDP in 2019, 1.6% in 2022, 1.5% in 2023 and 1.4% in 2024 for Malta, against 2.6%, 2.1%, 2.1% and 2.1% for the EU-27 [1]. A later passage notes that the share of pollution and resource taxes in total environmental taxes was above the EU average [1].

What was said	Who	Access
Total environmental tax revenue is lower than the EU average: 1.4% of GDP in 2024, EU 2.1%	Commission [1]	Read in full
In 2023, around 49% energy and 41% transport taxes	Commission [1]	Read in full
Pollution and resource taxes 0.18% of GDP, EU average 0.08% (year stated by the sentence: 2023)	Commission [1]	Read in full

SCOPE NOTE

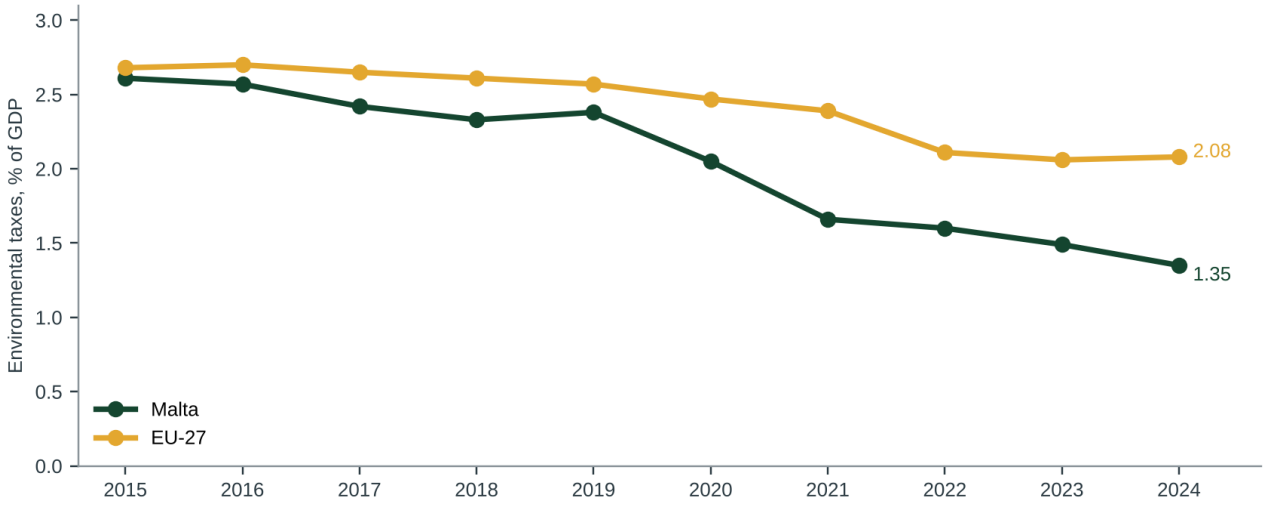
This check tests the figures and what the comparison does and does not show. It does not assess whether Malta should raise environmental taxes, or the energy-support measures and fossil-fuel subsidies that other checks cover (CC-022, CC-095, CC-113): those are spending, not tax revenue. The Commission uses the comparison to argue for more fiscal tools to encourage circular practices; we do not rate that recommendation.

2 Method

Question. Are the Commission's figures what Eurostat's environmental tax accounts show, and how should the comparison be read? **Evidence.** Eurostat env_ac_tax (revenue from environmental taxes, by category, as a share of GDP and in euro) and nama_10_gdp (GDP at current prices) for Malta, the EU-27 and all 27 Member States, 2015–2024, downloaded on 26 October 2026 with status flags [2, 3]. We recomputed Malta's share from the euro revenue and GDP, ranked the 27 states, and recomputed the composition from the euro revenue by category (*tools/cc-134-report/calc.py*; inputs in *data/cc-134/*; results in *checks.csv*). The definition is Eurostat's [4]. **Grades.** Official statistics are grade C; a peer-reviewed study on what environmental tax revenue does and does not measure is cited as context (grade B) [5]. Verdicts follow the scale in Appendix A.

3 The headline comparison

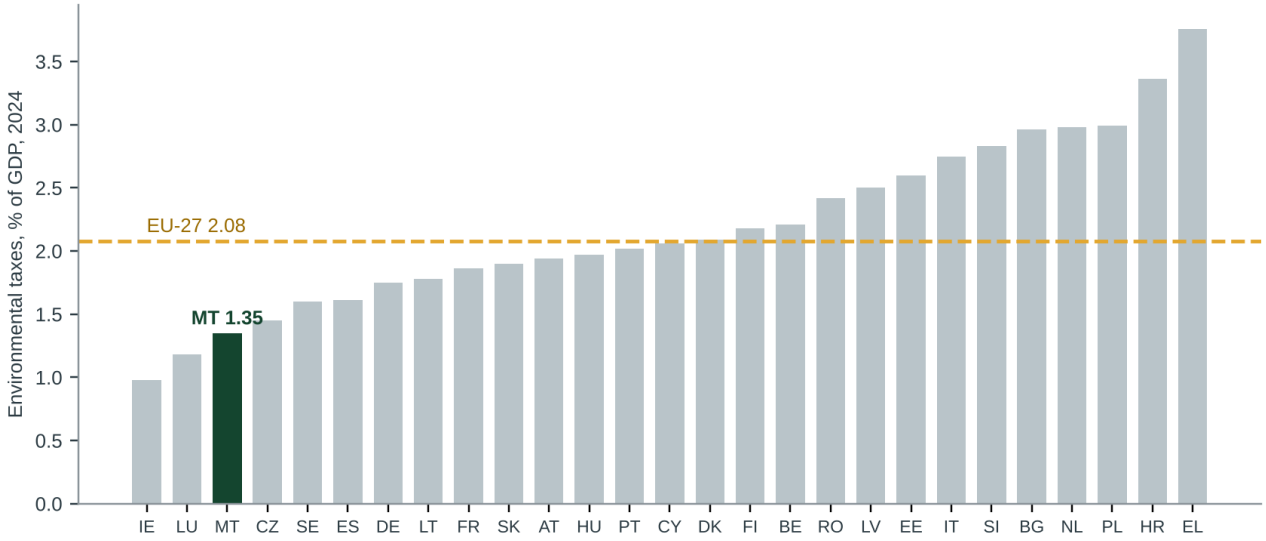
Eurostat counts as environmental taxes only payments that national accounts classify as taxes and whose tax base is a physical unit (or proxy) of something with a proven specific negative impact on the environment: energy (including fuel for transport), transport (such as vehicle taxes), pollution and resources [4]. On that definition, Malta's environmental taxes raised EUR 312.5 million in 2024. Divided by GDP of EUR 23,079 million this is 1.354%, equal to Eurostat's published 1.35% [2, 3]. The EU-27 figure is 2.08%. The Commission's 1.4% and 2.1% are these values, rounded.



Source: Eurostat env_ac_tax (PC_GDP), retrieved 26 Oct 2026. Total environmental taxes (energy, transport, pollution and resources).

Figure 1. Environmental tax revenue as a share of GDP, Malta and the EU-27, 2015–2024. Malta's share fell by almost half; the EU's by about a fifth.

Malta's rate was below the EU's in every year of 2015–2024, by 0.07 percentage points in 2015, 0.19 in 2019 and 0.73 in 2024. The decline from 2.38% in 2019 to 1.35% in 2024 is 1.03 percentage points, against 0.49 points for the EU-27 [2]. The data do not say why, and we did not test causes: revenue as a share of GDP falls when GDP grows faster than the taxed activity or when rates are cut.



Source: Eurostat env_ac_tax (PC_GDP), 2024, retrieved 26 Oct 2026. Malta is 25th of 27; only Ireland and Luxembourg are lower.

Figure 2. Environmental taxes as a share of GDP, 2024, all 27 Member States. Malta (green) ranks 25th; the dashed line is the EU-27 aggregate.

Ranked among the 27, Malta is 25th (Ireland 0.98%, Luxembourg 1.18%, Malta 1.35%). The highest is Greece at 3.76%. The simple average of the 27 states is 2.19% and the median state is 2.06% [2]. The Commission's claim that Malta is "lower than the EU average" therefore holds against the EU-27 aggregate, the simple average and the median.

4 Composition: energy, transport, pollution and resources

Malta, % of GDP	2022	2023	2024	EU-27, 2023
Energy taxes	0.80	**0.72** (48.5% of total)	0.68	1.61
Transport taxes	0.62	**0.62** (41.6% of total)	0.54	0.36
Pollution and resources	**0.18**	**0.15** (9.8% of total)	0.14	0.08
Total environmental taxes	1.60	1.49	1.35	2.06

Source: Eurostat env_ac_tax, percentage of GDP; shares computed from revenue in euro [2]. Figures in bold are those the Commission cites or that bear on its sentence. Categories may not sum exactly because of rounding.

Energy and transport. In 2023 energy taxes were 48.5% and transport taxes 41.6% of Malta's environmental tax revenue [2]. The Commission writes "around 49% and 41%". The energy share rounds to 49%; the transport share rounds to 42%, not 41%. We treat this as within 'around': the two categories together are 90.2% in Eurostat and 90% in the Commission's sentence.

Pollution and resources. The sentence puts the 0.18% in the same breath as the 2023 split. Eurostat's value for Malta is 0.18% in 2022, 0.15% in 2023 and 0.14% in 2024 [2]. The EU-27 value is 0.08% in each of the three years. So "0.18%" is correct for 2022 but not for 2023, and the "EU average: 0.08%" is correct for either. The difference is 0.03 percentage points of GDP (roughly EUR 7 million at 2024 GDP) and does not change the Commission's point, that Malta's pollution-and-resources taxes are above the EU average: 0.15% against 0.08% is still almost twice the EU rate. We cannot tell whether the Commission used an earlier release of the data or took the 2022 value; the report does not say, and we did not test earlier Eurostat vintages.

5 What the measure does and does not show

It is a revenue measure. Environmental tax revenue as a share of GDP depends on how much of the taxed activity there is (fuel sold, vehicles registered), on the tax rate, and on the size of GDP. A lower share can mean lower rates, a smaller taxed base, or faster GDP growth; it does not by itself show how much environmental damage is priced. In a study of 27 OECD economies over 1995–2023, environmental taxes were found to reduce ecological footprints on average only insignificantly, with an effect that grew where environmental pressure was higher [5]. We read the abstract only. That finding supports caution, not a conclusion about Malta.

A different denominator gives a different picture in some years. As a share of total taxes and social contributions (excluding imputed contributions), Malta's environmental taxes were 5.68% in 2023, above the EU-27's 5.29%, and 4.69% in 2024, below the EU-27's 5.28% [2]. The Commission's text uses the share of GDP, which is the standard comparison, and we do not say the choice is wrong; but the statement "lower than the EU average" depends on the measure and the year. Malta's total tax take is lower than the EU's (28.9% of GDP in 2024 against 39.4% for the EU-27, in the report's own Annex 3 table [1]), which lowers every tax category when measured against GDP.

Scale. The gap of 0.73 percentage points of GDP in 2024 is equivalent to about EUR 168 million a year at Malta's 2024 GDP [2]. This is an illustration of scale, not a forecast and not a recommendation: it assumes the same base and GDP, and says nothing about what rates would achieve it.

6 Testing the claim

Sub-claim	What the evidence shows	Rating
A. Total environmental tax revenue is lower than the EU average: 1.4% of GDP in 2024, EU 2.1%	Eurostat: 1.35% and 2.08%; recomputed from euro revenue and GDP; Malta 25th of 27 [2, 3].	ACCURATE
B. In 2023 revenues were primarily from energy and transport taxes, around 49% and 41%	48.5% and 41.6% [2]; together 90.2%.	ACCURATE
C. Pollution and resource taxes 0.18% of GDP (EU average 0.08%), in the 2023 sentence	0.18% is Eurostat's 2022 value; 2023 is 0.15%, 2024 is 0.14%; EU 0.08% in each year [2]. Still above the EU average.	MINOR ERROR OF YEAR

The Commission's recommendation that Malta develop its fiscal tools is policy advice and is not rated.

7 Verdict and requests for evidence

VERDICT

LARGELY SUPPORTED

The headline and the composition are exact; one figure is from the previous year. Confidence: high.

Why. (1) The central claim, that Malta's environmental tax revenue is below the EU average, with figures of 1.4% and 2.1% of GDP, matches Eurostat and recomputes from euro revenue and GDP. (2) The 2023 split agrees with Eurostat. (3) One figure, the 0.18% for pollution and resources, belongs to 2022 and not to the year the sentence names; the correct 2023 value, 0.15%, supports the same point. These are minor caveats, which is why the verdict is 'largely supported' rather than 'supported'. Confidence is high because the Commission's source and Eurostat's series agree on every other figure and we recomputed them. **What this verdict does not say.** It does not say that Malta's environmental policy is weak or strong, or that higher taxes are the right response.

Evidence we are asking for

- ☐ European Commission: the data vintage behind the 0.18% in the Country Report, or a correction to the year.
- ☐ Ministry for Finance: the revenue by tax (fuel duty, vehicle registration and circulation taxes, others) behind Eurostat's three categories, so that the fall since 2019 can be attributed.

RIGHT OF REPLY

Not needed for this verdict (maintainer rule of 5 October 2026).

8 Limitations

- Eurostat revises its series; the values here are those of the 10 February 2026 release (environmental taxes) and the 22 October 2026 release (GDP). We did not find or test earlier vintages.
- We tested Eurostat's tables, not Malta's tax rates or the underlying national accounts. The Commission's Annex 3 table also draws on the OECD and other sources that we did not read beyond the rows cited.
- The peer-reviewed study cited is read as an abstract only and concerns OECD countries, not Malta.

- Malta's 2023 shares are computed from euro revenue by category; the Commission's "around 49% and 41%" may have been computed from another vintage or rounding.
- We do not know why the 0.18% appears; the explanation of a prior vintage is a possibility we could not test.

References

[1] European Commission (3 Jun 2026; transmitted to the Council 8 Jun 2026). 2026 Country Report – Malta, SWD(2026) 218 final, Annexes (Council document 10135/26 ADD 1), PDF pp. 44 (circular economy section) and 77 (Annex 3, taxation). https://data.consilium.europa.eu/doc/document/ST-10135-2026-ADD-1/en/pdf

[2] Eurostat. Revenue from environmental taxes (env_ac_tax), 2015–2024, Malta, EU-27 and the 27 Member States, dataset updated 10 Feb 2026; downloaded 26 Oct 2026. https://ec.europa.eu/eurostat/databrowser/view/env_ac_tax

[3] Eurostat. GDP and main components, current prices (nama_10_gdp, B1GQ, CP_MEUR), downloaded 26 Oct 2026. https://ec.europa.eu/eurostat/databrowser/view/nama_10_gdp

[4] Eurostat. Environmental taxes (env_ac_tax_esms): concepts and definitions, reference metadata. https://ec.europa.eu/eurostat/cache/metadata/en/env_ac_tax_esms.htm

[5] Turan T., Esen Ö., Yıldırım S. (2026). Do environmental taxes prioritise environmental effectiveness or revenue-raising motivation? Evidence from OECD countries. *Sustainability* 18(17):8703. doi:10.3390/su18178703. (Abstract read.) https://doi.org/10.3390/su18178703

[6] Miżien. Data and calculations: data/cc-134/; tools/cc-134-report/calc.py (checks.csv).

Appendix A: series standards and verdict scale

Every investigation in this series follows the same rules so that verdicts are comparable and challengeable.

Verdict	Meaning
SUPPORTED	Evidence consistently backs the claim as stated.
LARGELY SUPPORTED	Backed by the evidence, with minor caveats that do not change the substance.
NOT SUBSTANTIATED	Stated more strongly than the evidence offered or available allows. May be true in some conditions but has not been shown.
MISLEADING	Omits material facts so that the overall impression is inaccurate, even if individual statements are defensible.
CONTRADICTED	The available evidence points against the claim.

Confidence

High: multiple independent lines of evidence agree. **Moderate**: evidence is relevant but incomplete or indirect. **Low**: evidence is thin, second-hand or conflicting.

Evidence grades

A experiment · B observational study with a control or gradient · C review, guidance or official statistics · D assertion or anecdote. ◆ marks a source known only second-hand.

Standards

- **Quote the speaker, not the headline,** with outlet and date, and link the original where possible.
- **Separate the claim from the evidence offered for it,** and say who made which statement.
- **Grade the evidence** and show differing views side by side where the evidence is unsettled.
- **State what we could not access or verify,** and what would change the verdict either way.
- **Ask for the missing evidence** in specific, answerable requests.
- **Offer a right of reply** where a check finds a claim Not substantiated, Misleading or Contradicted (or a pledge Not measurable, Off track or Missed), before wider circulation, and append responses.
- **Correct errors openly** with a version number and change log.
- **Whistle-blow only on evidence:** a verdict of *Misleading* or *Contradicted* requires documents or data that can be shown, not inference.
- **Check every side.** Government, opposition, NGOs and developers are held to the same standard.

Appendix B: revision log

Version	Date	Change
1.0	26 Oct 2026	First issue. Verdict Largely supported (high confidence); no right of reply needed.